

## Multiple Choice (10 marks)

1. In the balance of payments the trade balance
  - (a) is ignored.
  - (b) appears in the capital account.
  - (c) appears in the current account
  - (d) is included in the official reserves.
2. Lower interest rates in the United States cause the value of the dollar and exports to change in which of the following ways? VALUE OF THE DOLLAR U.S. EXPORTS
  - (a) Increasing Increasing
  - (b) Increasing Decreasing
  - (c) Decreasing Increasing
  - (d) Decreasing Unchanged
3. Long-run aggregate supply is most likely to increase as the result of
  - (a) an increase in the real interest rate
  - (b) increased investment in capital
  - (c) an increase in aggregate demand
  - (d) an increase in the unemployment rate
4. A demand curve slopes downward for an individual as the result of
  - (a) diminishing marginal utility
  - (b) diminishing marginal returns
  - (c) the Fisher effect
  - (d) diminishing returns to scale
5. If current real GDP is 5000 and *full employment real GDP is at 4000* which of the following combinations of policies is the most likely to have brought the economy to this point?
  - (a) A decrease in taxes and a lower discount rate
  - (b) An increase in government spending and an increase in taxes
  - (c) A decrease in taxes and selling bonds in an open market operation
  - (d) An increase in government spending and an increase in the discount rate

## True / False (10 marks)

*Answer True or False*

6. True or False: An increase in consumer confidence causes the equilibrium price level to decrease while the quantity of output also decreases.
7. True or False: The marginal propensity to save is 0.10, indicating that for every 100 increase in income, saving increases by 10.
8. True or False: The Phillips curve shows the relationship between inflation and the money supply in an economy.
9. True or False: Technical efficiency is achieved when price is equal to average total cost ( $P = ATC$ ).
10. True or False: A balance of payments deficit indicates that a country has lowered its official reserve position.

## Long Form Response (20 marks)

*Answer each question with a clear and complete explanation.*

11. Discuss how the existence of a unique original signed copy of The Wealth of Nations by Adam Smith can be represented by a perfectly vertical supply curve, and analyze the implications for its value in the market.
12. Discuss the potential impacts of inflation on the macroeconomy during the peak of a typical business cycle. How can it affect consumers, businesses, and overall economic stability?

*End of Paper*